to follow formal rules. Thus, as discussed in Chapter 3, the BRICS accepted Basel III requirements and greater transparency but resisted neoliberal ideology imposed by edicts from the IMF or others on capital controls and currency adjustments.

This tendency toward informal rules has led policymakers in the Western incumbent powers (including Japan) and senior staff in the international financial institutions to express fears that an expanded presence of the BRICS in global economic and monetary governance may introduce a greater degree of informality and illiberal counternorms or no-strings development aid[47] into the forums of global financial governance. For his part, Jin Liqun, president of the AIIB, insists that the new bank will not only be "lean and green," but also "clean," meaning not only efficient with a small professional staff and non-resident board of governors that cares about the environment, but also not corrupt. This aspiration will require overcoming the pressures of operating a multilateral bank in a country with both strong authoritarian predispositions and informal practices.[48]

The BRICS' imperatives to generate domestic economic growth may be combined with a possibly salutary influence of a mostly capitalist international political economy in which private cross-border investment responds to market imperatives. As David Andrews argues with regard to financial globalization, its market force is strong enough to squeeze any flexibility and arbitrary policy tendency out of even the biggest of the players.[49] Particularly in the world of financial integration, the swift flow of financial capital will penalize any antimarket movement on the part of governments, whether it takes the form of high taxation, mismanagement, or corruption.[50] Furthermore, for many capital-scarce developing countries, the competition to attract foreign capital induces discipline on the part of their governments.

Of course, such discipline could be either detrimental or beneficial to a country's economy.[51] There could be a "race to the bottom" dynamic, where welfare of the people in the capital-recipient countries would be adversely affected in the form of slack environmental standards, lower wages, or compromised safety regulation to make foreign investment more profitable. At the same time, these governments could be motivated to reduce corruption, inefficiency, and mismanagement in order to attract good investors and steady financial inflows.[52] Therefore, it is plausible that market discipline would influence the BRICS to move toward more formal domestic